



Third Eye Research Shorts Series

Debunking AI Value Myths @Enterprise: Business/AI Leaders and Service Providers

AI in a Bank

■ Region: US



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#2 Maybe something like?

The Return on AI Capital: Why Your Financial Services Organization and ITSP Must Know How to Measure It To Drive Value

Financial services organizations and ITSPs must stretch their AI value imagination beyond the immediate lure of increasing worker “productivity,” and focus on return on your AI capital.

What is AI Capital?

AI capital is the hidden capital sitting within the data, knowledge, experience of your organizational resources and systems, that can be mined with the AI technologies and algorithms. This hidden capital can be deployed to generate revenue!

How Banks Can Realize Return on Capital Through Enterprise AI

How can a bank generate or increase returns on its AI capital? The data stored inside the bank’s systems, the knowledge patterns and experiences tacitly residing inside the heads of your employees, feedback – chats, queries, even complaints from your customers, are your strongest resources for differentiation and capital for value generation.

The ‘Intelligence’ (data + algorithms) of AI is your hidden capital that resides in your systems, data, historical knowledge, relationships, networks, feedback systems. This knowledge capital is the result of years of organizational and human experience, knowledge and learning. This knowledge is probably not stored in manuals or trainings. Examples include:

- best practices for identifying and servicing different margins and segments of customers,
- relationships, networks, behavioral clusters, cross-references amongst customers
- what not to do while serving customers (for example, sentiment analysis-negative sentiment handling),
- the evolution of payment and transaction processing, systems and automation.

The algorithms are fundamentally good at extracting, codifying, automating and deploying these tacit intelligence capital. Algorithms do this through knowledge extraction, retrieval, processing, classification, searching and ranking of this capital.

The algorithms help your financial institution codify employee knowledge and experience captured across the enterprise and range of documentation – from Standard Operating Procedures (SOPs), customer service request processing, resolutions, feedback management, transaction records, fraud records, and threats and attacks histories, events and episodes. Without AI technologies, gathering this knowledge across the bank would be impossible and way too expensive. Data and expertise reside in many different siloes, lines-of-businesses and within IT groups across the bank enterprise.

These invaluable organizational memory and experiences as knowledge resources are your capital assets that can generate big returns e.g. as a context/ training corpus, to develop and fine-tune your organization-specific LLMs and RAG models.



What is the return on capital employed for your organization’s AI Capital?

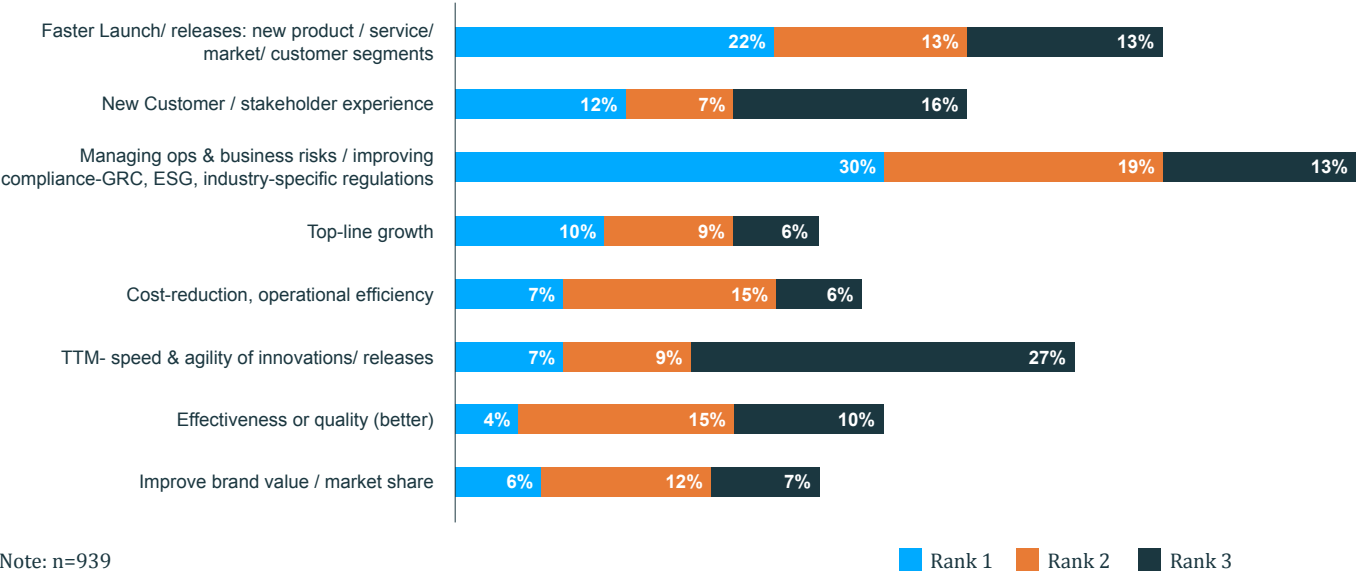
ROCE is a financial ratio that measures a company’s profitability and capital efficiency.

The ROCE of AI measures how efficiently you are deploying the AI capital to improve your profitability and market value.

When your financial services organization’s AI assets – the agents, models, use cases, data and curated knowledge corpus, pattern-bases, are being deployed or employed as capital, it’s impact on profitability, revenue growth and value generation, should be measured as the ROCE of your organization’s AI.

For instance, a Third Eye survey (2023?), pivoted on US banking leaders, clearly shows that the business leaders do prioritize big data technologies for derisking and growing businesses. That is, bank business leaders valued the use of these technologies for their ability to create market value for the institution.

Q: What critical business case parameters are driving the adoption of these cloud-based technologies in your organization / business unit / function? - Data infrastructure (data lakes, big data platforms), analytics



The true value of AI resources lies in the financial institution’s ability to leverage both staff and customer experience and relationships (e.g. manifest in sentiments, feedback, complaints, queries, transactions, behavior, chat streams), knowledge and data to create market value. How can FIs achieve this? By effective training and deployment of AI leveraging these resources and algorithms, that will build new capabilities and value propositions of unique strengths, which in turn will differentiate the overall organization and improve its market performance.



Actions for next Monday Morning:

- Identify all the resources that can generate value in terms of the organizational 'Intelligence'.
- Identify the intelligence that will generate net new, even disruptive ideas, products and services, beyond your institution's current capabilities and, in turn, differentiate itself in the market.
- Build high-impact, strategically high-value AI use cases using the best-fit algorithms and service-stacks, on these intelligence resources.
- Define target ROCE metrics for these use cases as the AI capital for the organization. The efficiency at which this AI capital is deployed and leveraged, will also depend on the scale of usage, the uptake, the behavioral switch of the users be it customers, employees, partners, investors.
- Measure and report these "ROCE on AI Capital" value dashboards, to key stakeholders. Build a glidepath with gradually increasing deployments and scale.



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